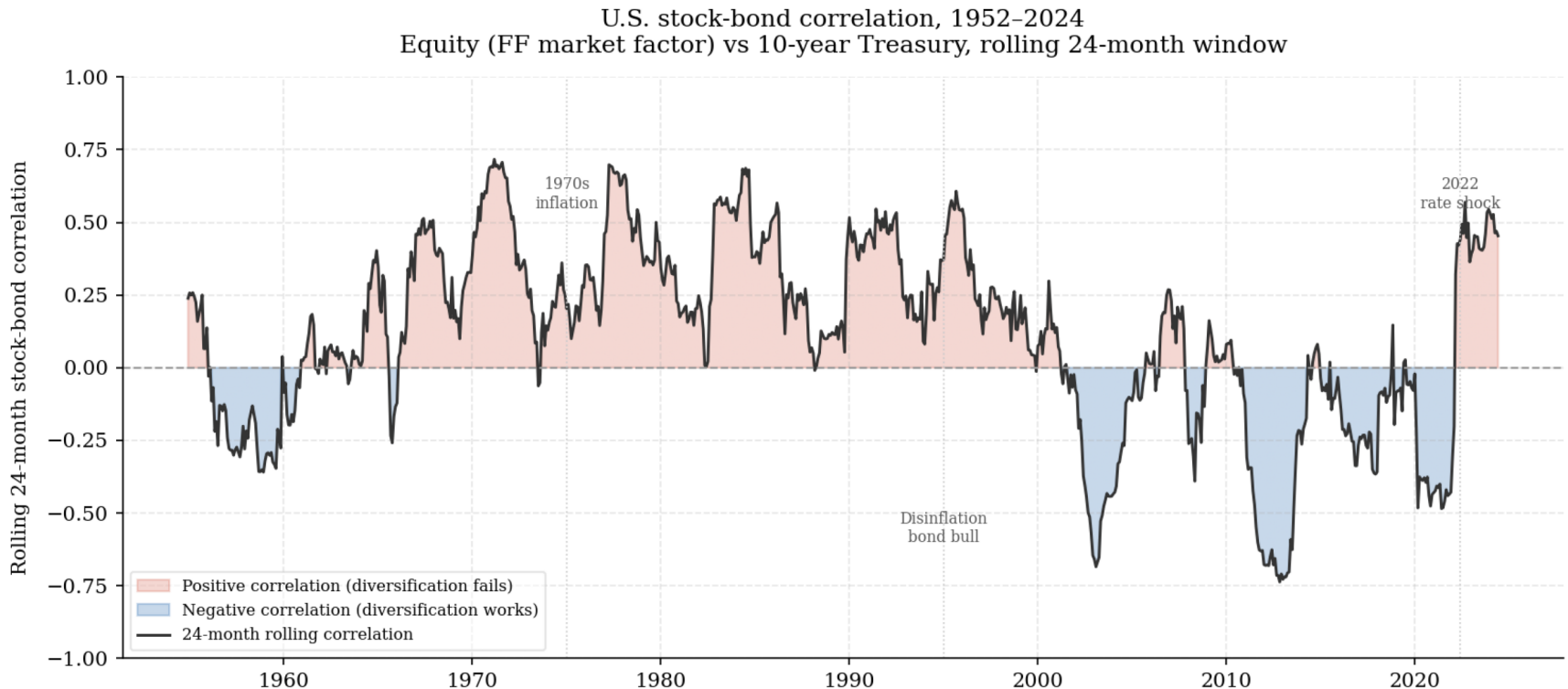
U.S. stock-bond correlation, 1952–2024
Equity (FF market factor) vs 10-year Treasury, rolling 24-month window
Rolling 24-month stock-bond correlation
1.00
0.75
0.50
0.25
0.00
−0.25
−0.50
−0.75
−1.00
1960
1970
1980
1990
2000
2010
2020
1970s
inflation
Disinflation
bond bull
2022
rate shock
Positive correlation (diversification fails)
Negative correlation (diversification works)
24-month rolling correlation